ISSUER REVIEW · 6M2026

# Augstsprieguma tīkls (AST)

OK

Latvia · Electricity transmission system operator (Latvia); 68.46% of Conexus Baltic Grid (gas transmission an

Position OK. AST is Latvia's 100% state-owned electricity transmission operator, rated A-[4,1]. For the EUR 100m bond maturing on 2027-01-20 it holds EUR 94.7m of cash and an undrawn SEB overdraft of up to EUR 90m[5].

EBITDA · 6M2026
**61.4** EUR m
▲ 22.3 % vs 6M2025

NET PROFIT · 6M2026
**22.5** EUR m
▲ 17.8 % vs 6M2025

NET DEBT / EBITDA · 6M2026
**0.93** x
▼ 0.39x vs FY2025

EQUITY RATIO · 6M2026
**40** %
▼ 1 p. p. vs 6M2025

## Quick summary

- **Results improving:** 1H EBITDA EUR 61.4m (50.2m), margin 33% (28%); profit EUR 22.5m (19.1m)[6].
- **Low debt:** net debt about EUR 94m, about 0.9 times annual EBITDA (own calculation); equity ratio 40%[6].
- **Bond redemption covered:** for the EUR 100m green bond due January 2027 there is an SEB overdraft of up to EUR 90m (to 2027-03-10), undrawn at 2026-06-30[7,1].
- **Large investments:** EUR 209m invested in 2025; the Development Plan 2027-2036 is EUR 1,066m, of which up to EUR 289m is EU co-financing[8,7].

### Key facts

ISSUER RATING
A- with a stable outlook (agency not named in the report)[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-30[3]

COUNTRY
Latvia

### Securities held

**AST 0.5% green bond 2027**
LV0000802528 · 0.5% · 2027-01-20
Green bond · no separate rating found

## 01 Instruments held and ISINs

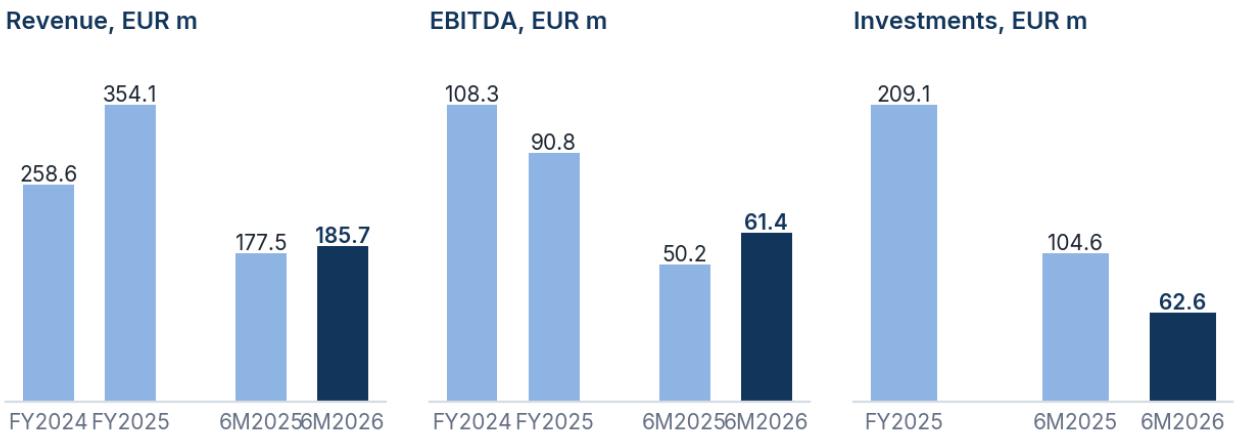
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| LV0000802528 | AST 0.5% green bond 2027 Green bond | 0.5% | 2027-01-20 | no separate rating found (not rated separately: the issuer chose not to rate its bonds (S&P issuer rating A-)) | Listed 2021-11-29; refinancing backed by SEB overdraft up to EUR 90m (to 2027-03-10) |

## 02 Key ratios

| METRIC | FY2024 | FY2025 | 6M2025 | 6M2026 | CHANGE |
|---|---|---|---|---|---|
| Revenue, EUR m[9,6] | 258.6* | 354.1* | 177.5* | 185.7* | ▲ 4.6 % vs 6M2025 |
| EBITDA, EUR m[9,6] | 108.3* | 90.8* | 50.2* | 61.4* | ▲ 22.3 % vs 6M2025 |
| Net profit, EUR m[9,6] | 22.7* | 27.5* | 19.1* | 22.5* | ▲ 17.8 % vs 6M2025 |
| Investments, EUR m[8,6] | – | 209.1* | 104.6* | 62.6* | ▼ 40.2 % vs 6M2025 |
| Net debt, EUR m[9,6] | 74.2ᶜ | 120.0ᶜ | 134.3ᶜ | 94.4ᶜ | ▼ 29.7 % vs 6M2025 |
| Net debt / EBITDA[9,6] | 0.69xᶜ | 1.32xᶜ | – | **0.93xᶜ** | ▼ 0.39x vs FY2025 |
| Equity, EUR m[9,6] | 641.1* | 651.7* | 644.9* | 657.6* | ▲ 2.0 % vs 6M2025 |
| Equity ratio[9,6] | 42%* | 41%* | 41%* | **40%*** | ▼ 1 p. p. vs 6M2025 |
| Total assets, EUR m[9,6] | 1,529.0* | 1,587.9* | 1,567.7* | 1,640.3* | ▲ 4.6 % vs 6M2025 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).




## 03 Business performance review

- AST runs Latvia's 330 kV and 110 kV transmission grid (330 kV: 17 substations, 1,727 km; 110 kV: 130 substations, 3,786 km) and owns 68.46% of Conexus Baltic Grid (gas transmission and the Inčukalns storage)[10].

- The Baltics synchronised with Continental Europe on 2025-02-09; the balancing capacity market has run since 2025-02-04[11].
- New three-year tariffs apply from 2026-01-01, with the average AST tariff falling by 10%[12].

## 04 Financials

- FY2025 revenue EUR 354.1m (258.6m), EBITDA EUR 90.8m (108.3m), profit EUR 27.5m (22.7m)[9].
- Borrowings EUR 189.0m and cash EUR 94.7m at 2026-06-30; the bonds (EUR 100.2m) are now short-term[6].
- **Dividends:** the parent company paid EUR 13.6m in 1H[13].

## 05 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Synchronise the Baltics with Continental Europe | Done on 2025-02-09, confirmed as permanent[14,15] | Done[14]. | **Met** |
| Refinance the EUR 100m bond (maturity 2027-01-20) | Cash EUR 94.7m and an SEB overdraft of up to EUR 90m; no new issue plan in the report[5] | Enough funds for the redemption[5]. | **In progress** |
| Development Plan 2027-2036: EUR 1,066m of investment | Submitted to the regulator (PUC) on 2026-07-30[7] | Awaiting approval[7]. | **In progress** |

## 06 Investor information & conclusions

- **Instrument held:** a 0.5% green bond, EUR 100m, maturing 2027-01-20 (Nasdaq Riga since 2021-11-29)[16].
- **Redemption:** less than three months to maturity; cash (EUR 94.7m) and the undrawn EUR 90m overdraft cover the full amount[5].
- **Conclusion:** low risk thanks to state ownership, regulated business, an A- rating and secured redemption funding.

## 07 Market and environment

- **Profit rose** to EUR 22.5m (19.1m a year earlier) on higher power and gas transmission revenue[17]; power transmission revenue +8% thanks to balancing and congestion-management revenue (+EUR 41.8m)[17].
- **Tariffs:** new transmission tariffs from 2026-01-01; up to EUR 44.4m of accumulated congestion revenue can be used until end-2028, EUR 4.0m recognised in 1H 2026[18]. Gas storage revenue fell 36% on lower bookings and tariff[18].
- **Market:** the June power price in Latvia was EUR 92.23/MWh (+12.3% m/m) on lower wind output and a European heatwave[19]; synchronisation and renewables growth significantly increase the need for balancing reserves[7].

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| ECB deposit facility rate | 2.50% (2026-09) | 2.25% | – | – |
| 3-month Euribor | 2.64% (2026-09) | 2.34% | 2.03% | ▲ 0.61 p. p. |
| 6-month Euribor | 2.92% (2026-09) | 2.60% | 2.10% | ▲ 0.82 p. p. |
| 12-month Euribor | 3.25% (2026-09) | 2.80% | 2.17% | ▲ 1.08 p. p. |

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| Euro area AAA government 10-year yield | 3.38% (2026-10) | 3.23% | 2.72% | ▲ 0.66 p. p. |
| Euro area inflation (HICP, annual) | 1.90% (2025-12) | 2.20% | 2.40% | ▼ 0.50 p. p. |

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

## 08 In the press

No news about the issuer found in this period.

## 09 ESG report

### EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - Electricity transmission and gas infrastructure
  - No activity in excluded sectors[10].
- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies found.
- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-23).
- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (2026-10-22).
  - News summary 2026-07-25 – 2026-10-23: 0 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

### ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - The grid connects renewables: five new connection agreements in Q1 2026, including a 160 MW hybrid plant
  - New links with Estonia, Sweden and Germany planned[20,21].
- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - Green bonds (2021) fund the transmission grid
  - SF6 equipment is being replaced[1,14].
- ✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
  - No yellow flags found.
  - Board appointments follow open competitions[22].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

**Applicable**

- The Electricity & Renewable Energy policy[23].

**Met**

- The development plan integrates more renewables, ISO 45001 safety, an annual sustainability report[24].

**Additional comments:**

### ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**

- No need: a state-owned regulated transmission company.

**Additional comments:**

### INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**

- A sustainability report under ESRS is published, with Scope 3 emissions from 2025
- Almost 100% of waste is recycled[25].

**Additional comments:**

**Conclusion:** No exclusions or red flags. The transmission grid is essential for renewable expansion.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


1. AST - Interim financial statements 12M 2025, p. 14, 2026
2. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11-12, 2026
3. Nasdaq Baltic - AST reports list, 2026-10-19
4. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 3, 2026
5. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 11, 2026
6. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 2026
7. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11, 2026
8. AST - Interim financial statements 12M 2025, p. 13, 2026
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10. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 11, 2026-04-24
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16. Nasdaq Baltic - AST 0.5% green bond LV0000802528, 2026-10-22
17. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 8, 2026
18. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 9, 2026
19. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 6, 2026
20. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 11, 2026
21. AST - Annual report 2025 (sustainability report and audited financial statements), p. 18, 2026-04-24
22. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 2026
23. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), p. 6-8, 2026-04-23
24. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8-9, 15, 2026-04-24
25. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 24, 2026-04-24


Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.